



PAPER – 6:

FINANCIAL MANAGEMENT AND STRATEGIC MANAGEMENT

6A: FINANCIAL MANAGEMENT



QUESTIONS

PART I - Case Scenario based MCQs

1. ABC Ltd, a newly incorporated company, commenced its operations in 2024 by issuing equity shares at face value. The company follows a pure equity capital structure and has 10,000 equity shares outstanding.

During its first two years of operations, the company demonstrated stable financial performance. It earned a profit of ₹ 1,00,000 in 2024 and ₹ 1,04,000 in 2025, reflecting a consistent annual growth rate of 4%. The company's cost of equity (K_e) is estimated at 8%. Based on the Gordon Growth Model, the market price per share at the end of 2025 has been valued at ₹ 162.24.

Although the company has been following a traditional dividend payout policy, the management is now concerned about whether this policy maximizes shareholders' wealth. Specifically, the Board of Directors wants to assess whether the current dividend payout ratio is appropriate in light of the company's growth prospects and return on retained earnings.

To support this decision, the finance team has been instructed to evaluate the firm's dividend policy using both the Gordon Growth Model and Walter's Model. The objective is to determine the impact of the existing and alternative dividend payout strategies on the company's

market price per share, growth rate, capital employed, and overall shareholder wealth maximization.

You are required to answer the following requirements:

- (i) Based on the given information, what is the face value per share and the rate of return on retained earnings (r)?
 - (A) ₹ 10 and 8%
 - (B) ₹ 100 and 10%
 - (C) ₹ 100 and 8%
 - (D) ₹ 10 and 10%
- (ii) What is the market price per share in 2025 under Walter's Model?
 - (A) ₹ 162.24
 - (B) ₹ 150.00
 - (C) ₹ 143.00
 - (D) ₹ 170.00
- (iii) If the firm's return on retained earnings (10%) is greater than its cost of equity (8%), what is the optimum dividend payout ratio and corresponding market price per share?
 - (A) 60% payout; ₹ 143.00
 - (B) 40% payout; ₹ 150.00
 - (C) 0% payout; ₹ 162.50
 - (D) 100% payout; ₹ 130.00
- (iv) What is the capital employed at the beginning of 2026, growth rate and estimated earnings for 2026 if company continue the existing (traditional) dividend payout ratio in 2025?
 - (A) ₹ 11,24,864; 4%; ₹ 1,12,486
 - (B) ₹ 11,89,760; 10%; ₹ 1,18,976

- (C) ₹ 10,81,600; 4%; ₹ 1,08,160
- (D) ₹ 11,24,864; 10%; ₹ 1,18,976
- (v) What is the capital employed at the beginning of 2026, growth rate and estimated earnings for 2026 if company adopts optimum dividend payout ratio in 2025?
- (A) ₹ 11,24,864; 4%; ₹ 1,12,486
- (B) ₹ 11,89,760; 10%; ₹ 1,18,976
- (C) ₹ 10,40,000; 8%; ₹ 1,04,000
- (D) ₹ 11,44,000, 10%, ₹ 1,14,400
2. A firm's current liabilities comprise bank credit and other liabilities in the ratio of 2 : 1. The current liabilities of the firm are 3,00,000 and the current ratio is also 2 : 1. The quick ratio is 1 : 1. Thus, the amount of bank credit and inventory of the firm would be :
- (A) ₹ 3,00,000 and ₹ 1,00,000
- (B) ₹ 2,00,000 and ₹ 3,00,000
- (C) ₹ 3,00,000 and ₹ 2,00,000
- (D) ₹ 1,00,000 and ₹ 3,00,000
3. The capital structure of JKL Limited consists of 12% debentures of ₹ 50 lakhs, 10% preference shares of ₹ 25 lakhs, 14% term loan of ₹ 15 lakhs and equity share capital of ₹ 48 lakhs. Its reserves & surpluses are ₹ 24 lakhs. What would be the capital-gearing ratio?
- (A) 1.04
- (B) 1.25
- (C) 1.33
- (D) 1.56

PART - II Descriptive Questions**Ratio Analysis**

4. The following information pertains to P Limited for the year ended 31st March, 2025 :

Particulars	Amount / Ratio
Sales	₹ 3,60,00,000
Rate of Income Tax	40%
Return on Net Worth	30%
Share Capital to Reserves Ratio	6 : 4
Current Ratio	2 : 1
Percentage of Net Profit to Sales	8%
Inventory Turnover (based on cost of goods sold)	12
Cost of goods sold	₹ 1,44,00,000
Sundry Debtors	₹ 12,00,000
Sundry Creditors	₹ 16,00,000
Interest on 14% debentures	₹ 3,36,000

You are required to CALCULATE:

- (i) Operating Expenses
- (ii) Share Capital and Reserves
- (iii) Closing Stock
- (iv) Fixed Assets

Cost of Capital

5. Zebra Dynamics Ltd., a diversified engineering firm, is currently undergoing a strategic review of its capital financing. The Board of Directors has set strict hurdles for new project approvals. The Chief Financial Officer (CFO) has stated that the company's Cost of Capital based on Book Value weights is currently 11%, while the Cost of Capital based on Market Value weights is exactly 150 basis points higher.

Market Benchmarking Data

To determine the cost of equity, the finance team has gathered data on two comparable peers, A Ltd. and B Ltd, which operate in the same economic environment. Their returns are driven by the Capital Asset Pricing Model (CAPM):

Security	Beta	Expected CAPM Return
A Ltd.	1.2	15.20%
B Ltd.	0.8	12.80%

Capital Structure:

- Book Value Terms: The company maintains a traditional balance sheet with an equal ratio of Equity and Debt.
- Market Value Terms: Due to market optimism, the company's equity trades at a premium. The Market Value of Equity is 3 times its Book Value, while the debt trades at par (Market Value of Debt equals Book Value).

Debt Instrument Details

The company's debt capital is raised entirely through Debentures with the following characteristics:

- Coupon Rate: 7% per annum.
- Issue Details: The debentures were issued at a discount of ₹ 10 for ₹ 90.
- Redemption: They are redeemable at Par (₹ 100).
- Tenure: The debentures mature in 4 years.

You have been hired as a financial consultant to

- (i) PROVIDE a detailed breakdown of the component costs.
- (ii) CALCULATE the corporate tax rate applicable to the company assuming Discount on issue or premium on redemption are tax deductible.
- (iii) CALCULATE the Beta of the company.

Capital Structure

6. The following data relate to two companies belonging to the same risk class:

Particulars	A Ltd.	B Ltd.
Expected Net Operating Income	₹ 18,00,000	₹ 18,00,000
12% Debt	₹ 54,00,000	-
Equity Capitalization Rate	?	18

Required:

- DETERMINE the total market value, equity capitalization rate and weighted average cost of capital for each company assuming no taxes as per M.M. Approach.
- DETERMINE the total market value, equity capitalization rate and weighted average cost of capital for each company assuming 40% taxes as per M.M. Approach.

Leverage Analysis

7. ABC Manufacturing Limited produces industrial components with a well-established market presence. The company operates under a special tax-free status granted by the government, which exempts it from corporate income tax obligations.

Financial Information

The company's financial parameters for the current fiscal year are as follows:

Capital Structure Details

- Total Capital Invested: ₹ 20,00,000 (₹ 20 lakhs)
- Cost of Equity (K_e): 12% per annum
- Cost of Debt (K_d): 6% per annum
- Weighted Average Cost of Capital (WACC): 9% per annum

Operational Information

- Annual Sales Revenue: ₹ 24,00,000 (₹ 24 lakhs)

- Variable Costs: 50% of sales revenue
- Fixed Costs: ₹ 10,00,000 (₹ 10 lakhs) per annum

General corporate tax is 25%

As a financial analyst, you have been tasked with conducting a comprehensive financial analysis of ABC Manufacturing Limited. Specifically, you are required to:

- DETERMINE the optimal debt-equity composition that results in the given weighted average cost of capital of 9%.
- PREPARE a comprehensive Income Statement showing the company's profitability from operations through net income when the cost of debt is 6%, 10% & 12%.
- CALCULATE the Return on Investment (ROI) to assess how efficiently the company is utilizing its total capital invested.
- CALCULATE the Return on Equity (ROE) to evaluate the returns generated for equity shareholders.
- FIND the different leverages in the following format

Leverages	Computation	Dependent on	Indicates effect of ___ on
Leverages showing level of business risk			
Leverages showing level of finance risk			
Leverages showing level of combined risk			

- EXPLAIN the concept of Leverage as a double edged sword by explaining the Leverage Effect when $ROI > K_d$, $ROI = K_d$, $ROI < K_d$.
- DERIVE ROE from ROI in the following format –

Cost of debt =	6%	10%	12%
Return on Investment % of Equity			
Surplus / Deficit from debt payments in %			
Surplus / Deficit from debt payments in INR			
Return on Equity in INR=ROI + Surplus – Deficit			
Return on Equity in % = Return on Equity in INR/Equity			

Investment Decisions

8. EquipLease Financial Services Ltd. is a specialized equipment leasing company that has been operating in the industrial equipment financing space for over 15 years. The company's business model involves purchasing high-value machinery and leasing it to manufacturing companies, thereby earning returns through lease rentals while retaining ownership of the assets. The company has built a strong reputation for providing flexible financing solutions tailored to clients' cash flow patterns and business cycles. Their leasing arrangements help clients conserve capital while accessing state-of-the-art equipment.

EquipLease has recently purchased a specialized CNC precision machine with the following informations:

- **Purchase Cost:** ₹ 10,00,000 (paid upfront)
- **Expected Useful Life:** 4 years
- **Residual/Salvage Value:** Nil (technology becomes obsolete)
- **Depreciation for Tax Purposes:** Can be claimed by EquipLease under Straight line method (SLM) or Units of Production method(UOP)
- **Lease Rentals** earned by company is subject to tax.
- **EquipLease's Cost of Capital:** 10% per annum
- **Corporate Tax Rate:** 25%

TechManufacture Industries Ltd., a growing precision engineering company, has approached EquipLease expressing interest in leasing this

CNC machine. TechManufacture has provided detailed information about their expected utilization pattern:

The machine's usage will follow a graduated ramp-up pattern based on TechManufacture's order book projections:

Year	Production Capacity Utilization	Relative Units
1	Low (Initial phase)	1 unit
2	Medium	2 units
3	High	3 units
4	Peak	4 units

This pattern is typical for businesses scaling up production with new equipment - starting slow as operators are trained and processes are optimized, then ramping up to full capacity. The Client wants the company to charge lease rentals based on the client's utilization pattern 1:2:3:4.

Mr. Vikram Malhotra, the Chief Credit Officer at EquipLease, is tasked with structuring an appropriate lease arrangement. He faces several strategic decisions:

- i. HOW MUCH portion of the cost is recovered from tax savings on depreciation under both the methods viz. SLM & units of production method.
- ii. FIND the portion of investment to be recovered from lease rentals under both the assumptions i.e. Depreciation under both the methods viz. SLM & units of production method.
- iii. DETERMINE minimum lease rentals needed to recover the balance cost of investment after adjusting the Tax shields on the depreciation under both the depreciation methods if -
 - EquipLease charge uniform (equal) rentals over 4 years
 - Lease rentals follow the client's utilization pattern (1:2:3:4)

Working Capital

9. Following information is forecasted by the Puja Limited for the year ending 31st March, 2025:

	Balance as at 1 st April, 20X6	Balance as at 31 st March, 20X7
	(₹)	(₹)
Raw Material	45,000	65,356
Work-in-progress	35,000	51,300
Finished goods	60,181	70,175
Debtors	1,12,123	1,35,000
Creditors	50,079	70,469
Annual purchases of raw material (all credit)		4,00,000
Annual cost of production		7,50,000
Annual cost of goods sold		9,15,000
Annual operating cost		9,50,000
Annual sales (all credit)		11,00,000

You may take one year as equal to 365 days.

You are required to CALCULATE:

- Net operating cycle period.
- Number of operating cycles in the year.
- Amount of working capital requirement using operating cycles.

Miscellaneous

10. (a) DISCUSS the features of international funding and angel financing in the context of corporate financing.

- (b) "The treasury department of a business concern has evolved its importance over the years from being responsible for only cash handling issues to technical areas revolving around hedging forex risks and composition of capital structure." In the light of this statement, EXPLAIN briefly the fundamental tasks for which treasury department is responsible.
- (c) STATE the acceptance rule under Internal Rate of Return (IRR) method of capital budgeting.